

Scandi brief – Q2 GDP

No change in course

**Economics
Scandinavia**

- ◆ Detailed Swedish Q2 GDP print was hawkish
- ◆ Norwegian activity came in roughly as expected
- ◆ Neither print is a gamechanger – we see both central banks on hold for the remainder of 2026 but upside risks remain

Sweden: the frontrunner

Swedish GDP was strong in Q2, with growth coming in at 1.6% q-o-q compared with a Riksbank forecast of 0.9% q-o-q. Activity in Q1 2026 and H2 2025 was also revised up. Part of the Q2 strength reflects a rebound from a weak Q1, but the upturn was broad-based. Defence spending likely added to growth but cannot explain all of the strong result as household and public consumption, investment, and exports all grew at a solid pace. Various soft and hard data also signal continued strong growth in H2. At the same time, the labour market remains weak, with the unemployment rate unchanged at 8.5% in Q2. Meanwhile productivity in the business sector rose by a full 1.3% q-o-q in Q2, easing (still rather muted) price pressures.

Norway: the steady workhorse

From upside surprise to downside surprise: Norwegian mainland activity rose at the fastest pace in a year in Q2, but at 0.3% q-o-q still undershot expectations (Norges Bank's forecast: 0.4% q-o-q). Growth in Q1 was also revised down one tenth (0.1% q-o-q). However, some temporary factors were at play in Q2: low reservoir levels weighed on energy production, a strike dampened activity in hospitality, and the aftershocks from vehicle VAT changes continued to affect private consumption. Conversely, the notoriously volatile private investment rebounded after a sharp Q1 drop and net trade also contributed positively. The labour market is still resilient with registered unemployment having changed very little, and employment was up 0.2% q-o-q. Overall, the underlying trend is not deviating significantly from Norges Bank's assessment and is close to normal, in our view.

Interest rate outlook not materially altered

The second quarter GDP prints have not materially altered the interest rate outlook in the Scandies, in our view. While higher growth in Sweden and robust domestic demand technically make it easier for the Riksbank to hike, we still view the move higher before Q1 2027 that markets are looking for as unlikely. Inflation is modest, and productivity growth is reducing cost pressures. A weak labour market has also historically made the bank cautious. That said, any ECB hikes beyond September may weigh on the SEK, forcing the Riksbank's hand.

In Norway, once adjusted for volatile non-cyclical sectors, the underlying activity trend does not deviate significantly from Norges Bank's view. The June rate path indicated one more hike by year-end and this is priced into markets, but in our view, the August inflation print (released on 10 September) would need to surprise strongly to the upside to trigger a rate hike in September. Our base case is for a hold until H2 2027 though the risks are skewed towards one more move higher.

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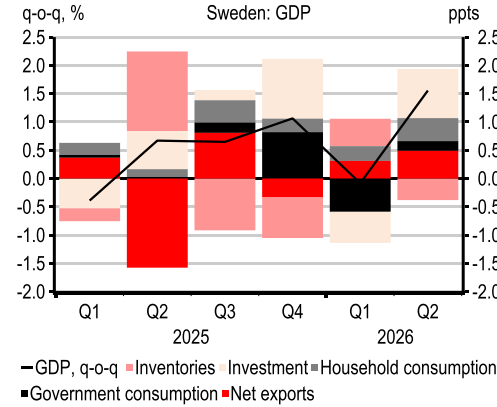
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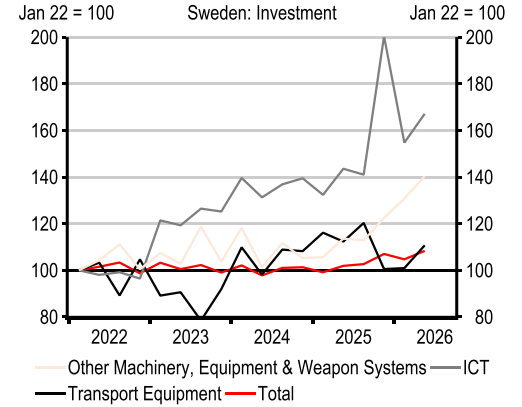
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1. Swedish activity expanded strongly in Q2 in a broad-based upturn



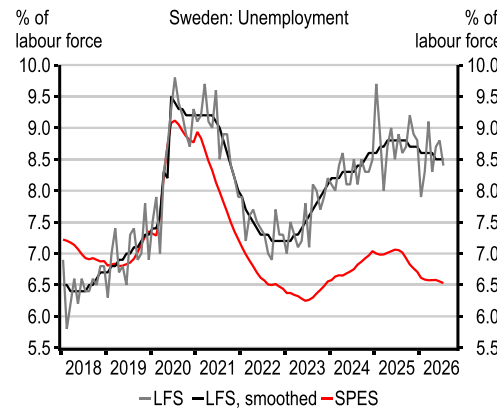
Source: Macrobond, HSBC

2. The global trends of defence spending and AI boom likely played a role



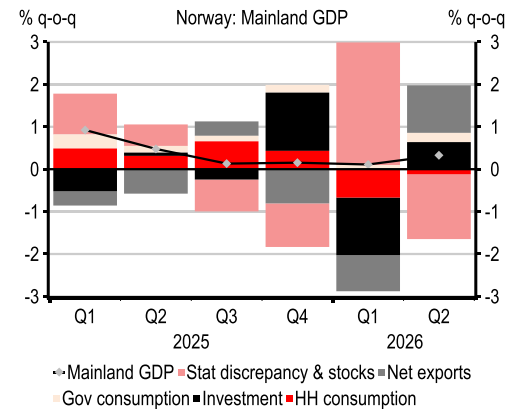
Source: Macrobond, HSBC

3. The labour market remains weak



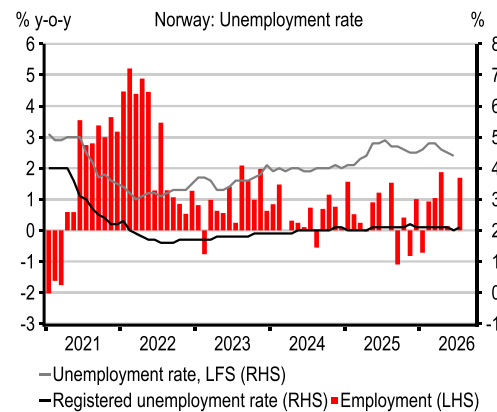
Source: Macrobond, HSBC

4. Q2 activity in mainland Norway picked up but still undershot expectations



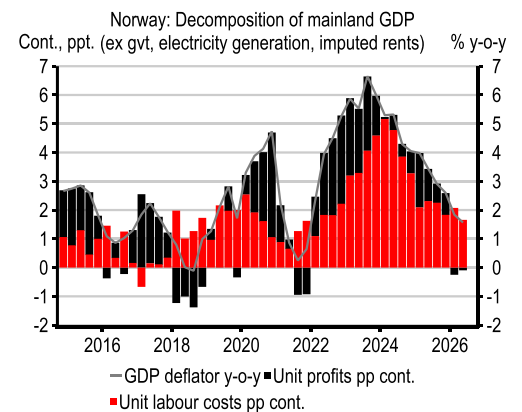
Source: Macrobond, HSBC

5. The Norwegian labour market remains stable



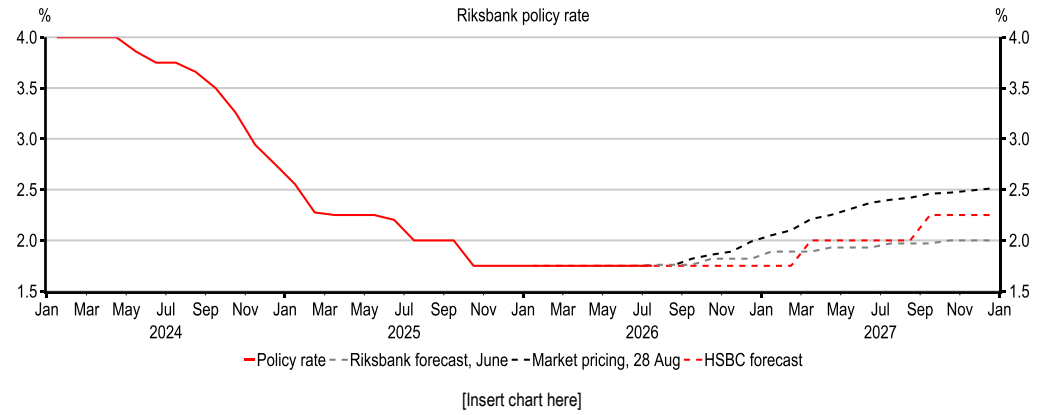
Source: Macrobond, HSBC

6. Norwegian unit labour cost growth is edging down slowly



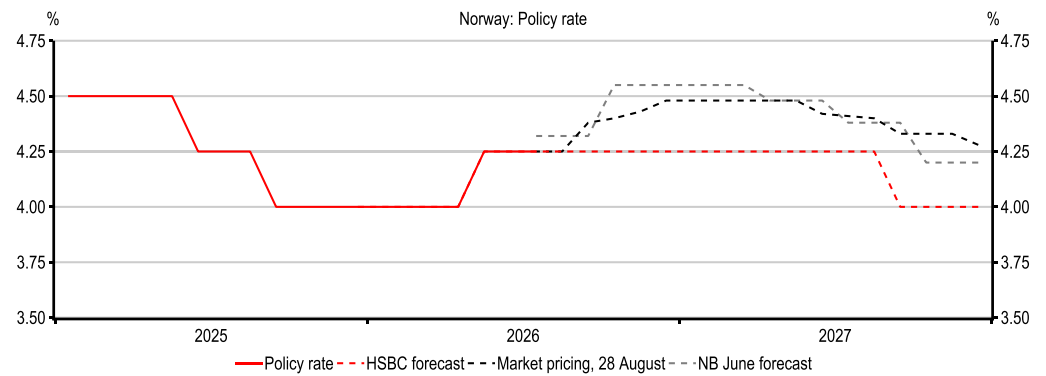
Source: Macrobond, HSBC

7. Markets are pricing in one full rate-hike by year-end 2026 but we expect the Riksbank to wait till Q1 2027



Source: Bloomberg, Macrobond, HSBC

8. Norges Bank signalled potential for one more rate hike this year but after several downside inflation surprises the pressure to act is slowly easing



Source: Bloomberg, Macrobond, HSBC

Disclosure appendix

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